Global Tech Platforms

B2B up, B2C down: our new AI TAM forecasts to 2030

Equities
Internet Software & Services

United States

- B2B: AI adoption up, driven by Anthropic but lifting all boats; we increase industry revenue forecasts by 74% in 2026-30e
- B2C: we cut our 2026-30e market revenue by 20% as user growth slows and monetisation lags at leader OpenAI
- We increase our AI TAM by 38% in 2026-30e; we update our OAI 2026-30e funding gap calculation, halved at USD77bn

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We increase our AI TAM by 38% in 2026-30e

Trends that have emerged since April: (1) the B2B AI market is accelerating significantly and (2) the B2C market is not growing as fast as we were expecting. For background, see Global Tech Platforms: *OpenAI: Back to chatbots – new HSBC forecasts*, 1 April and *OpenAI launches its new frontier model*, 24 April.

We are updating our industry revenue estimates:

- **AI B2B industry revenue**: we increase our estimates by 74% over 2026-30e. Agentic AI brings new use cases and accelerates adoption, coding tools are progressing fast too. Anthropic is a clear leader in B2B, OpenAi (OAI) remains a serious but distant contender alongside Gemini.
- **B2C AI industry revenue**: we cut our forecasts by 20% over 2026-30e driven by weaker user growth than expected in the market, notably at leader OAI and more complex monetisation of consumer chatbots than we initially expected. ARPU dilution from low tiered packages impacts subscription revenue.
- **B2B+B2C AI industry revenue**: we increase our 2026-30e AI total market revenue by 38%.

The global AI landscape is shaping toward high concentration in the West

We think we are witnessing the build-up of an LLM oligopoly in the western side of the world, shaped by the very high cost of compute that has created a high barrier to entry. Significant cost cutting is not an option in our view. Scaling law dominates: more compute → smarter models → more users → more revenue. Such market structure increases the probability of recouping sunk costs by achieving long-term RoIC higher than WACC, absent sector regulation.

We believe that OAI is well positioned to be one of the key participants in the forming oligopoly. With this in mind, we cut our OAI 2030 funding gap estimate to USD77bn from USD154bn, through a combination of lower estimated FCF deficit, incremental equity raise, and increase in the value of Advanced Micro Devices (AMD US) shares that OAI could sell when they vest. Options to close the gap include an IPO (Anthropic just filed with the SEC) and another funding round (the latest round raised USD122bn in April 2026).

The global AI landscape is shaping further

3.5 years after the groundbreaking launch of ChatGPT (30 November 2022), the AI landscape is still in the making. If OpenAI (OAI) remains a leading reference in the West, its pioneer status didn't guarantee a perpetual lead position: Anthropic has surpassed OAI's Q2 2026 ARR (annualised rate of revenue). We also continue to observe a strategy gap and outcomes in the West and the East.

A selected group of frontier models in the West…
Pioneer OAI has been rapidly joined by well-funded competitors, essentially Anthropic and Gemini, but also, from a distance, by Meta. We think we are witnessing the build-up of an oligopoly in the western side of the world, shaped by the very high cost of compute that has created a high barrier to entry (a "sunk costs" economy). This is illustrated by the step-up in unit measurements, from billion dollars to trillion dollars, from megawatts to gigawatts. Europe is leveraging these Western models but is looking at gaining some independence: Mistral AI can play a big role there. The French company has raised EUR1.7bn in September 2025 (a series C funding led by ASML valuing the company at EUR11.7bn post-money) to become the AI name for Europe, focusing on building precise business cases and deep integration into clients' processes. The company is not focused on reaching the state of AGI (artificial general intelligence) in the way that OAI, Gemini, or Anthropic are.

…and a different structure in Asia
China is very active when it comes to models, with a combination of frontier models from large tech giants including Alibaba, Tencent, ByteDance and independent labs including DeepSeek, Minimax, Zhipu or Kimi to name a few. Models from independent labs tend to be smaller in size and have been built on much lower budgets than their Western peers. Western models claim that some of these have been trained by distilling their own frontier models (Anthropic, 14 May 2026). A more focused approach to model infrastructure optimisation, combined with a larger electricity grid supply (which is more of a constraint in the West) means a rapid adoption of AI, both in B2C and B2B in Asia and possibly a more fragmented market than the US.

Reasons for different market structures explained
Large US Frontier models benefit from the size of their local market and high GDP per head too, which can justify a high level of investment and opex, considering their revenue expectations. Western models also have access to a deep financial market to finance their ambition. These companies also benefit from accessing the best chips (NVIDIA's latest GPUs), whereas China faces US export restrictions. Western models are leading intelligence and skills contests at present, and this could remain the case: their larger compute capacity is improving quality faster than lighter structures ("scaling laws"). We believe that this would limit the penetration of non-Western models in the West at scale, which is another point reinforcing the oligopoly nature of the market eventually (and increasing the probability of recouping sunk costs by achieving long-term RoIC higher than WACC, absent sector regulation).

Leadership position is still unclear in the West
Only a few companies may make it to the final list (oligopoly structure). We think that OAI stands a strong chance of remaining part of this, but OAI has been seen as losing ground, notably against Anthropic and Gemini over the last months. We base this view on several signs:

- ChatGPT user growth outlook moderates as competitors gain
- OpenAI losing market share in foundation model subsegment in the Enterprise market
- Codex tools revenue are also lower than at Anthropic

In this note, we update our AI TAM and our forecasts for the main market participants to reflect the latest trends.

AI TAM: we increase our 2026-30 industry revenue by 38%

Please see our previous ***Global Tech Platforms*** reports: *OpenAI: Back to chatbots – new HSBC forecasts*, 1 April and *OpenAI launches its new frontier model*, 24 April

Trends that have emerged since April: (1) the B2B AI market is accelerating significantly and (2) the B2C market is not growing as fast as we were expecting.

- We increase our B2B AI industry by 74% over 2026-30e. Agentic AI brings new use cases to enterprises and accelerates AI adoption, coding tools are progressing fast too. Anthropic is a clear leader in B2B, OAI remains a serious but distant contender alongside Gemini. We increase OAI B2B revenue forecasts by 31% in 2026-30e.
- B2C: we cut our B2C AI industry estimates by 20% over 2026-30 driven by lower OAI forecasts (-23%). We have cut our user forecasts for leader OAI, which combined with ARPU dilution from lower tiered packages impacts subscription and advertising revenue.
- We increase our 2026-30e AI industry revenue by 38%, a combination of much higher B2B and slightly lower B2C revenue expectations.

HSBC new AI industry forecasts…

USDbn	2025e	2026e	2027e	2028e	2029e	2030e	Cumulative 2026-30e
Total AI revenue							
New	33	148	326	482	671	920	2,547
Old	33	100	196	324	493	728	1,842
Change	0%	47%	66%	48%	36%	26%	38%
o/w B2C - Consumer							
New	13	26	62	108	158	212	565
Old	13	31	71	129	197	278	705
Change	-1%	-16%	-13%	-16%	-20%	-24%	-20%
o/w B2B - Enterprise							
New	20	122	264	374	514	708	1,981
Old	20	69	125	196	296	450	1,137
Change	1%	76%	111%	91%	73%	57%	74%

Source: HSBC research

…Of which OAI – New vs Old (HSBCe)

USDbn	2026e	2027e	2028e	2029e	2030e	Cumulative 2026-30e
OAI total revenue						
New	36	76	113	154	201	580
Old	34	64	106	161	235	600
Change	8%	18%	6%	-4%	-14%	-3%
o/w OAI B2B revenue						
New	18	40	55	74	100	287
Old	11	22	36	57	92	219
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Change	-21%	-17%	-19%	-23%	-28%	-23%
o/w Other revenue						
New	3	6	9	13	16	47
Old	3	7	11	16	24	62

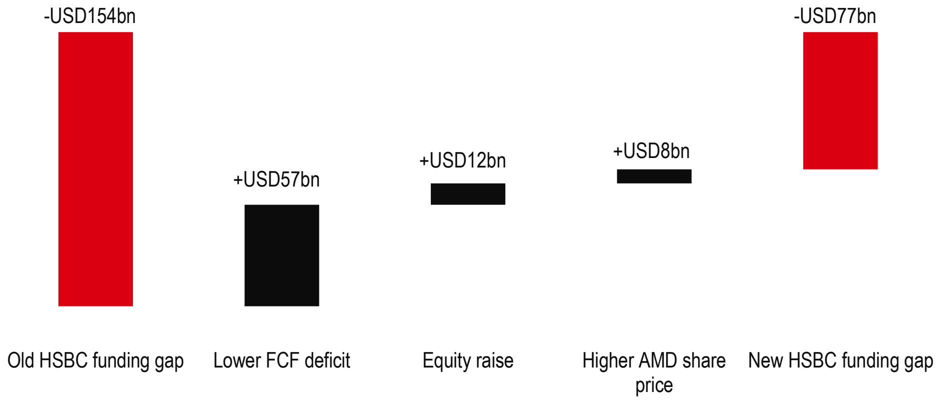
Source: HSBC estimates, previous forecasts are from our 1 April 2026 report, *Global Tech Platforms: OpenAI: Back to chatbots – new HSBC forecasts*

Consequently, we update our 2030 funding gap for OAI

Despite our 2026-30e revenue estimate cut by 3%, we reduce our funding gap forecast over the period to USD77bn from USD154bn. Our new forecast comes in significantly below due to three main reasons:

- **+USD57bn** from lower projected FCF deficit: from USD278bn to USD221bn over 2026-30e.
- **+USD12bn** of incremental equity raise. On 27 February 2026, OAI announced a USD110bn investment at a USD730bn pre-money valuation (USD30bn from Softbank, USD30bn NVIDIA and USD50bn Amazon). This was reflected in our previous funding gap calculation. We now factor in OAI's equity round (announced after market close on 31 March) that concluded at USD122bn, including an extra USD12bn raised from multiple financial institutions. We now reflect this extra USD12bn in our forecasts.
- **+USD8bn** from the higher AMD shares that OAI could sell when they vest. AMD's share price has increased from USD203.43 on 31 March 2026 to USD466.38 on 5 June 2026 (+129%).

Our funding gap estimate over 2026-30 is halved to USD77bn



Source: HSBC

AI TAM: our new forecasts

- Increasing our 2026-30e AI industry revenue by 38%, a combination of much higher B2B and slightly lower B2C revenue estimates
- B2B industry revenue forecasts up, driven by fast adoption of Agentic AI and coding tools, but we cut B2C subscription and ad revenue
- High LLM concentration in the West, driven by sunk costs economy; we halve our OAI 2030 funding gap forecast to USD77bn

Global AI industry revenue revised up by +38% in 2026-30e

Stronger B2B but lower B2C

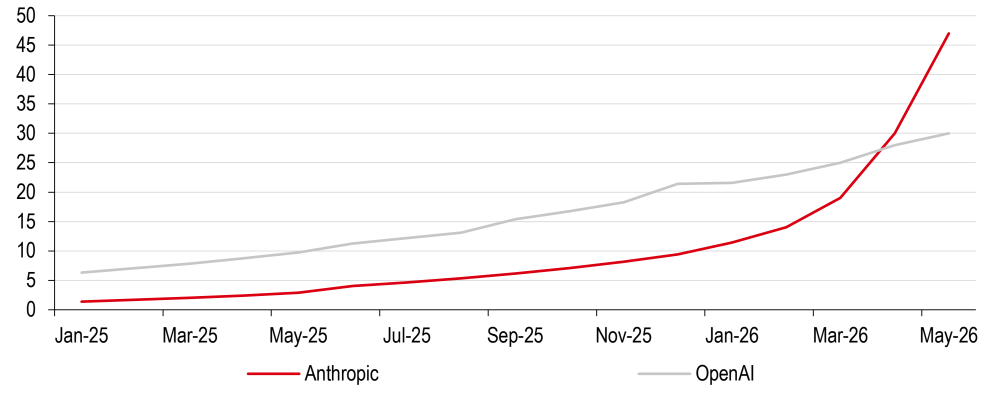
We have seen two trends emerge since April: (1) the B2B AI market is accelerating significantly and (1) the B2C market is not growing as fast as we were expecting. See our 1 April report, Global Tech Platforms: *OpenAI: Back to chatbots – new HSBC forecasts*.

Anthropic runs ahead of OAI

In B2B, headlines were dominated by strong revenue growth at Anthropic, the closest OpenAI rival in B2B. Anthropic (mostly focused on B2B) announced on 6 April 2026 a revenue run rate of more than USD30bn, compared to USD9bn at end-2025. Our latest estimates for May 2026 are now USD47bn ARR for Anthropic, up from USD20bn in our previous model. OAI is more exposed to B2C than Anthropic and may have just crossed only USD30bn ARR (B2B+B2C), according to media (The Information, 26 May 2026).

In B2C, press reports were pointing at user acquisition and revenue below target at market leader OpenAI, with the WSJ quoting people familiar with subscriber figures that the company "struggled with defection rates" (28 April 2026).

Annualised B2C+B2B revenue: Anthropic vs OAI, B2B-driven acceleration



Source: Company data, The Information, HSBC estimates

Other signals have emerged that indicate further growth accelerating in B2B while B2C monetisation may prove harder than we initially expected.

Anthropic and OAI's JVs can accelerate AI adoption with companies

OpenAI and Anthropic are both setting up joint ventures with financial partners to boost the adoption of AI within enterprises. These JVs would benefit from their engineers' expertise. OpenAI raised USD4bn-plus from investors including TPG, Brookfield Asset Management, Advent, and Bain Capital, according to Bloomberg (4 May 2026). Also on 4 May, Anthropic announced an AI services company with Blackstone, Hellman & Friedman and Goldman Sachs to help mid-sized companies to integrate Claude in their processes.

OpenAI focuses on regaining shares in B2B vs Anthropic

We note that OpenAI has doubled up in its efforts to capture more value with enterprises. Earlier this year, Fidji Simo, OpenAI's CEO of applications has indicated the de-prioritisation of side projects to better focus on coding and business users, according to the WSJ (16 March 2026). In a post on X (20 March), Fidji Simo said: "Companies go through phases of exploration and phases of refocus: both are critical. But when new bets start to work, like we're seeing now with Codex, it's very important to double down on them and avoid distractions. Really glad we're seizing this moment". We have already seen some impact with the demise of OpenAI's text-to-video app Sora on 25 March 2026 (see *OpenAI: Back to chatbots*, 1 April). Also, OAI has announced that it is working with consulting firms to boost AI adoption with businesses.

Challenges in monetising high but expensive use of chatbots by consumers

While AI adoption in businesses is bulking up, we think that the monetisation on the B2C side is less straightforward than we initially thought. We are not challenging the usage of chatbots, rather the capacity of these LLMs to eventually monetise customers' usage. The Information reported on 28 April that the introduction of ChatGPT Go, priced at a subscription tier of USD8 a month in the US (EUR5 in Europe) was triggering downgrades from ChatGPT Plus subscribers, paying USD20 per month. We note that Go packs include advertising, but we believe that in balance, this migration may impact revenue negatively (page 14).

Based on these recent market evolutions, we are now revisiting our global AI market wide revenue forecasts: up in B2B, down in B2C.

AI industry: we now forecast USD920bn in 2030, up from USD728bn previously

We have made significant upgrades to our B2B industry wide revenue for the 2026-30e period, with 74% more cumulated revenue in the period. To reflect our monetisation concerns, we cut our B2C revenue expectations by 20% over the period.

AI TAM revised up: +38% in 2026-30e

However, the combination of stronger B2B and lower B2C revenue expectations still leads to 38% more revenue based on our cumulative 2026-30 industry wide revenue for AI.

HSBC new AI industry wide revenue forecasts

USDbn	2025e	2026e	2027e	2028e	2029e	2030e	Cumulative 2026-30e
Total AI revenue							
New	33	148	326	482	671	920	2,547
Old	33	100	196	324	493	728	1,842
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Change	1%	76%	111%	91%	73%	57%	74%

Source: HSBC research

OAI: HSBC new revenue forecasts reflect these trends

2026-30e OAI revenue forecasts revised down slightly

We are reflecting the stronger trends in B2B and somewhat weaker monetisation in B2C than previously expected. We had previously calculated that OAI would deliver higher revenue than in our previous model in 2026-2028 but lower in 2029-30. We explain this in more detail in the following sections, but to summarise the changes in our assumptions lead to a 3% cut in our 2026-30e estimated cumulated revenue:

- **B2C**: our 23% revenue cut over the 2026-30e period is essentially driven by lower-than-expected users' growth, lower rate of user conversion to subscriptions and ARPU dilution, while we revise down our advertising projections due to the lower user count (page 10)
- **B2B**: faster-than-expected adoption of agentic AI and coding tools should benefit OAI in the coming years, but we assume that long-term market share advantage will remain with Anthropic, while the new deal with Microsoft means that OAI will no longer receive revenue from Azure. Hence, we lower our long-term revenue forecasts for OAI – page 16

OAI revenue forecasts – New vs Old (HSBCe)

USDbn	2026e	2027e	2028e	2029e	2030e	Cumulative 2026-30e
OAI total revenue						
New	36	76	113	154	201	580
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New	3	6	9	13	16	47
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Source: HSBC estimates, previous forecasts are from our 1 April 2026 report, *Global Tech Platforms: OpenAI: Back to chatbots – new HSBC forecasts*

2026-30e OAI FCF losses are lower in our new forecasts

+USD75bn from new revenue sharing cap with MSFT

On 27 April 2026, Microsoft and OpenAI announced new terms for their partnership, including that the revenue sharing (from OAI to MSFT) would continue throughout 2030 but with a cap. Press reports estimated that cap at USD38bn. Hence, we assume no more sharing from 2029 in our forecasts. This has a positive impact of USD75bn (note that the new deal also implies that OAI would not get revenue from MSFT selling ChatGPT products on Azure, but this is offset, we think, by new deals with Alphabet and Amazon; see page 8).

Our forecasts for compute costs are unchanged

We have kept our OAI compute cost assumptions unchanged at USD687bn over 2026-30e (equivalent to reaching c11GW of Compute power in 2030 vs c2GW at present). This compares to USD665bn planned by the company according to The Information (20 February 2026). As a reminder, we build this forecast on several past announcements:

- OAI and **NVIDIA** signed a letter of intent (LOI) in September 2025 with NVIDIA to invest USD10bn for each 1GW of compute capacity using NVIDIA's GPUs. Total capacity could reach 10GW, as part of the LOI. Statements from NVIDIA since then suggest that the LOI is unlikely to translate into a firm agreement, and we are not modelling it.

- OAI signed a deal with **AMD** in October 2025 to rent 6GW of AMD GPUs. AMD would issue 26.67m shares to OAI at virtually no cost for each 1GW of capacity OAI rents. The first tranche of the capacity is supposed to come online from 2H26 onwards. We are modelling the first tranche of the capacity from 2027 onwards as we have seen relatively limited details on the build out of the capacity and its progress.
- **Microsoft** announced an incremental USD250bn order from OAI as part of its September 2025 quarter results.
- As part of the funding round in February 2026, OAI will take an additional USD100bn of computing capacity from **Amazon** over the next eight years, adding to OAI's previous order of USD38bn over seven years.
- **CoreWeave** to receive USD22.4bn over c5 years for providing capacity, following a first agreement in March 2025 (USD11.9bn), expanded in May 2025 (+USD4bn) and completed by another agreement on 25 September 2025 (up to USD6.5bn)

We summarise our compute costs in the table below:

OAI compute costs forecasts

USDbn	2025e	2026e	2027e	2028e	2029e	2030e	2026-30e
NVIDIA	0	0	0	0	0	0	0
AMD	0	0	4	11	18	18	50
Oracle	2	10	25	63	97	104	298
CoreWeave	0	4	5	5	5	4	22
Amazon	0	3	18	19	19	19	76
Microsoft	19	41	50	50	50	50	241
Total	**21**	**58**	**102**	**147**	**188**	**193**	**687**
GW equivalent (average)	1.2	3.3	5.8	8.4	10.7	11.0	ns
GW equivalent (Dec end)	**1.9**	**5.3**	**9.8**	**9.7**	**13.8**	**11.3**	**ns**

Source: HSBC research

OAI: we cut our 2026-30e FCF losses to USD221bn

Finally, combining our new revenue forecasts, adjusting for the new agreement with Microsoft that caps OAI payments to USD38bn and keeping our compute costs assumptions unchanged, we calculate a lower cumulated FCF deficit of USD221bn, compared with USD278bn previously.

In the next section, we bridge our new FCF forecasts with the funding requirement of OAI from now to 2030.

OpenAI: Changes in HSBC FCF estimates

USDm, CY	2026e	2027e	2028e New estimates	2029e	2030e	2026-30e	2026e	2027e	2028e Old estimates	2029e	2030e	2026-30e
Revenue	**36**	**76**	**113**	**154**	**201**	**580**	**34**	**64**	**106**	**161**	**235**	**600**
Cash costs												
Compute costs	(58)	(102)	(147)	(188)	(193)	(687)	(58)	(102)	(147)	(188)	(193)	(687)
Microsoft's share of revenue	(7)	(15)	(15)	-	-	(38)	-	(13)	(21)	(32)	(47)	(113)
Employee costs ex SBC	(9)	(18)	(19)	(19)	(19)	(83)	(8)	(15)	(18)	(20)	(22)	(83)
Share based compensation	-	-	-	-	-	-	-	-	-	-	-	-
Interest income/expense	1	3	1	1	1	7	1	3	1	(0)	0	6
FCF (Revenue – Cash costs)	**(36)**	**(55)**	**(67)**	**(53)**	**(10)**	**(221)**	**(31)**	**(62)**	**(79)**	**(80)**	**(27)**	**(278)**

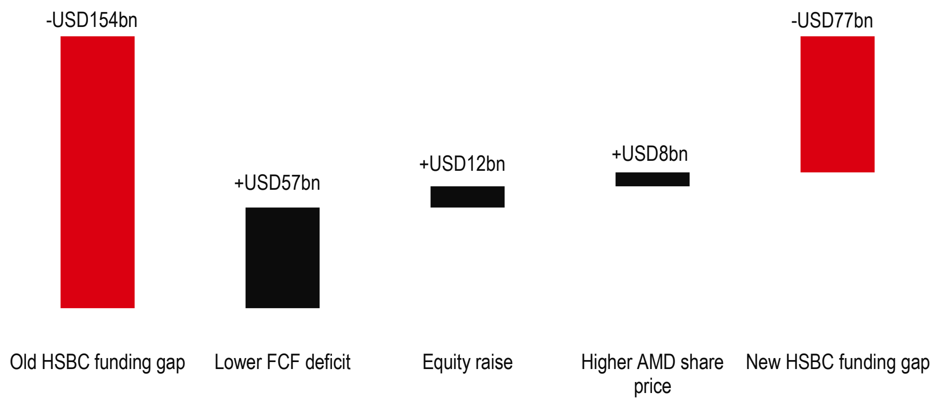
Source: Company data, The Information, HSBC estimates *Share based compensation

From FCF to funding gap

We start from our estimated net cash position at OAI as of 31 December 2025, take our FCF assumption and adjust for equity already raised (since December 2025) and higher potential proceeds from investments. In our 1 April 2026 report, we were considering a USD154bn net cash shortfall over 2026-30e. Our new forecast comes in significantly below due to three main reasons:

- **+USD57bn** from lower projected FCF deficit: from USD278bn to USD221bn over 2026-30e.
- **+USD12bn** of incremental equity raise. On 27 February 2026, OAI announced a USD110bn investment at a USD730bn pre-money valuation (USD30bn from Softbank, USD30bn NVIDIA and USD50bn Amazon). This was reflected in our previous funding gap calculation. We now factor in OAI's equity round (announced after market close on 31 March) that concluded at USD122bn, including an extra USD12bn raised from multiple financial institutions. We now reflect this extra USD12bn in our forecasts.
- **+USD8bn** from the higher AMD shares that OAI could sell when they vest. AMD's share price has increased from USD203.43 on 31 March 2026 to USD466.38 on 5 June 2026 (+129%).

Our funding gap estimates over 2026-30e is halved to USD77bn



Source: HSBC

Ways to address the funding gap

In theory, there are several ways for OAI to bridge the funding gap we estimate above. This includes a primary offering of shares, additional equity injections, less aggressive ramp-up in compute power build-up or a combination of one or more of these. As per numerous media reports (including the New York Times and the Wall Street Journal on 20 May 2026), OAI is considering an IPO in 2026. On 20 May 2026, the FT reported that OAI was preparing for a USD1trn listing as soon as September, indicating that the company could file a draft IPO prospectus as early as Friday 22 May. This date has passed, and we are not aware of any listing filed with the Securities and Exchange Commission (SEC). However, Anthropic announced on 1 June that it submitted a draft registration statement on Form S-1 to the SEC for a proposed IPO. Another round of **equity injection** is also a scenario.

IPO: Anthropic has filed with the SEC; market expectations that OAI could follow

We don't think **reducing compute** is a likely option: it would cut costs but at the same time hamper the improvement of the models. Intelligence indexes are showing strong convergence between leading LLMs, but it is still the case that the latest iteration of a Frontier model brings enough quality improvements to attract more users. As scaling laws still apply (the more compute the higher the performance and therefore the potential to increase revenue), compute may remain a sanctified line of expense.

AI B2C forecasts

- B2C AI TAM: we cut forecasts as monetisation lags
- Industry B2C leader OAI sees ChatGPT user and subscriber growth rates moderate as competitors, including Gemini, gain
- Slower growth in number of users impacts companies exposed to advertising today and in the future, notably OAI

B2C AI TAM: we cut forecasts as monetisation lags

Lower B2C TAM

Our AI TAM calculation for the consumer (B2C segment) aggregates two main sources of revenue: subscriptions for the use of advanced versions of chatbots and advertising. OpenAI is a clear leader in the B2C segment at present (57% revenue share, May 2026, HSBCe), but their user growth is slowing so we reduce our revenue expectations. This is impacting our TAM forecasts significantly. We present our new total addressable market forecasts for the B2C – Consumer segment below. Note that B2C accounts for less than half of the overall AI TAM.

B2C TAM forecasts

	2025e	2026e	2027e	2028e	2029e	2030e
AI TAM	**32,921**	**147,828**	**325,725**	**481,577**	**671,262**	**920,314**
B2B – Enterprise	20,321	121,714	264,218	373,814	513,705	707,958
B2C - Consumers	**12,601**	**26,113**	**61,507**	**107,763**	**157,557**	**212,356**
% total TAM	**38%**	**18%**	**19%**	**22%**	**23%**	**23%**
o/w subscriptions	**12,601**	**23,944**	**37,497**	**52,409**	**70,548**	**93,460**
% B2C revenue	100%	92%	61%	49%	45%	44%
o/w advertising	**0**	**2,170**	**24,010**	**55,355**	**87,009**	**118,897**
% B2C revenue	0%	8%	39%	51%	55%	56%
New vs old forecasts (1 April 2026)						
B2C - Consumers	**-1%**	**-16%**	**-13%**	**-16%**	**-20%**	**-24%**
o/w subscriptions	-1%	-17%	-15%	-19%	-24%	-28%
o/w advertising	0%	-8%	-10%	-13%	-16%	-20%

Source: HSBC research

As said, **OpenAI** is a leader in chatbots subscriptions revenue (57% share), benefitting from its early-bird status. We expect **Anthropic** to grow as Claude (9% revenue share) becomes a household name (halo effect from their lead in the B2B market), so is **Gemini** but with limited revenue market share (6%) as Gemini is mostly free (and we assume no change in strategy at this stage). Our new forecasts assume a 2030 market share of 37% for OAI compared to 44% previously.

Leader ChatGPT growth moderates as competitors gain

Competing high-quality chatbots are capping OAI user growth

OAI's first-mover advantage is eroding

OpenAI's ChatGPT has been the fastest growing large-scale consumer app of all time to become the leader in the B2C chatbot segment. Hence we think it is important to track its performance in detail. Its last reported global weekly active users (WAU) count in February 2026 was c900m, which we estimate translates into +1bn monthly active users (MAU). OAI's unique product offering in 2022 gave it an early-bird advantage. But it has missed its 1bn users target in 2025 due to competition from well-funded Big Tech and VC-backed peers, including Anthropic's Claude or Alphabet's Gemini.

Models, from OpenAI or competitors, keep improving in quality: the level of engagement is increasing with every new version of their frontier models (the more compute power used to train models, the more intelligent it becomes, what is often described as "scaling law"). Given the low if not absent switching costs between models, it is not too surprising to see the pioneer losing some ground.

What tells us that OAI's B2C growth stalls?

OpenAI target was to reach 1bn users in 2025 (OpenAI CFO reported by the FT, 30 November 2024, confirmed by CEO in a TED interview on 11 April 2025). It reached 500m in April 2025, 700m in August (TechCrunch, 4 August 2025), 800 in January (OpenAI, 22 January) and 900m last February (OpenAI 27 February 2026). Hence OpenAI missed its 1bn target.

We looked for further signs that OAI's users' growth is slowing, and we found several:

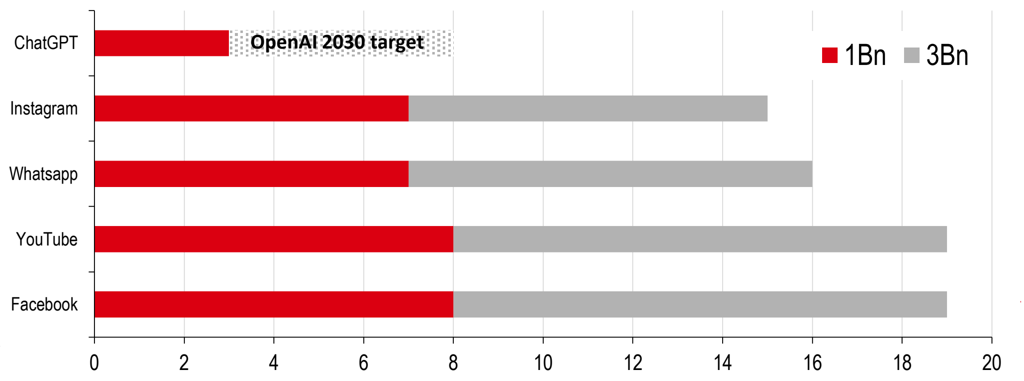
- Sensor Tower reports that **ChatGPT mobile app WAUs ended 1Q26 flat**, with Gemini (+13%) benefiting from native integrations across Android devices and Search
- Semrush estimates the total **ChatGPT web visits were flat** in Q1 2026 vs Q4 2025 compared to +65% for Gemini and +112% for Claude
- **The lack of communication by OAI regarding WAU or MAU** since 27 February, despite the importance of PR at a time when OAI and its competitors are considering public listings, which tells us that there is no good news for OpenAI to share on that matter.

It's not about slowing market adoption, rather competition from Claude and Gemini

Claude's enterprise success is spilling over into consumer

In 2025, we have seen fast user growth at Anthropic (Claude) and Alphabet (Gemini). Anthropic, formed in January 2021 by ex-OpenAI staff, presented its chatbot Claude on 14

Years to reach user milestones: OpenAI the fastest, but other LLMs are now catching up



Source: HSBC research
Source: Company disclosures, The Information reporting on OpenAI 2030 goals

March 2023 and has been capturing market share since then, notably in the Enterprise market but also in B2C where Claude is a familiar name amongst chatbots. Claude's enterprise success spilling over into consumer may have been supported by backlash against OpenAI's announcement of a partnership with the Pentagon (February 2026) attracting the spotlights beyond coders. Gemini also caught up with ChatGPT, with an acceleration of net adds to its B2C base showing from H1 2025, from a couple of hundreds MAU to 750m monthly active users in February 2026.

Why it's important for all LLMs chatbots to build user scale

LLMs' chatbots are to become the main user interface for many applications in the future, hence the importance of becoming a name of reference with a strong branding. The more usage, the more data the underlying models can analyse. This helps build better models, attracting more users and selling more services including advertising. This flywheel has proven successful for Google and its search service in the past.

OAI's 2.6bn users target looks increasingly ambitious

Companies in the B2C market do not share any target for their user base. But according to media (The information, 26 November 2025), OpenAI targets c2.6bn WAUs by 2030, including 800m paid users. This 2.6bn target looks increasingly ambitious (having already missed its 1bn target for 2025), and we adjust our 2030 forecast to 1.96bn users from 2.65bn previously.

OAI: Weekly active users (WAU) HSBC forecasts change

(m)	Dec 24e	Dec 25e	Dec 26e	Dec 27e	Dec 28e	Dec 29e	Dec 30e
Old	300	835	1,119	1,403	1,747	2,158	2,646
New	300	835	1,072	1,282	1,488	1,727	1,946
% change	0.0%	0.0%	-4.2%	-8.7%	-14.9%	-20.0%	-26.5%

Source: HSBC research

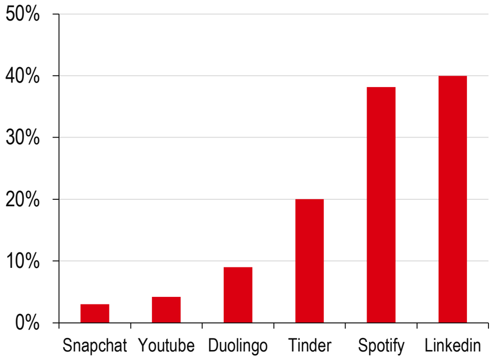
Users: Given the slower net adds growth we are observing at present, we estimate that our previous longer term users' forecasts were too high. We cut our 2030 target to just below 2bn WAU, compared to 2.6bn previously.

We cut our estimate for number of OAI users but increase the proportion of subscribers

New cheaper tier to boost subscriptions at OAI

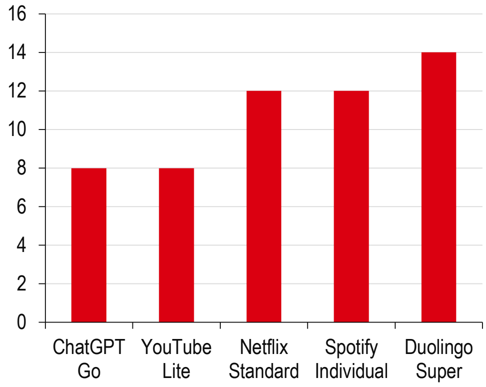
Most users are on the free version of ChatGPT, we estimate at close to 95%. To boost volumes, OpenAI rolled out its lower-cost ad-supported "ChatGPT Go" subscription tier worldwide on 16 January 2026. These Go packages are priced at a monthly rate of USD8 (ex-tax) in the US and EUR5-6 in Europe (including taxes). According to The Information (8 April) OpenAI expects the new tier to increase ChatGPT's payer conversion ratio to c9% of WAUs by 2027e (from c5% of WAUs in 2025) higher than its previous expectation of 8.5% (OAI targeted 220m subscribers out of their 2.6bn guidance according to The Information on 25 November 2025). We note that free-to-paid conversion rates for freemium consumer apps rarely exceed c5-8% with a few exceptions highlighted in the charts below.

Payer conversion ratios in FY25 (%)



Source: As % of MAUs, Company disclosures, eMarketer, HSBCe

Monthly subscription cost in the US (USD)



Source: The Information, Company disclosures, Amazon Free

OAI: chatbot subscribers and payer conversion ratio

(m)	Dec 24e	Dec 25e	Dec 26e	Dec 27e	Dec 28e	Dec 29e	Dec 30e
Old	16	51	77	104	140	184	240
New	16	55	104	133	164	201	239
% change	0.0%	8.2%	35.5%	27.4%	17.4%	9.2%	-0.6%
Conversion rate							
Old	5.2%	6.1%	6.9%	7.4%	8.0%	8.5%	9.1%
New	5.2%	6.6%	9.7%	10.4%	11.0%	11.7%	12.3%

Source: HSBC research

Subscribers: We increase our AOI subscribers' forecasts to reflect the positive impact on conversion due to the introduction of a lower tiered offer. Our conversion rate forecast is of 10% in 2027 (vs OpenAI expectations of c9%) and 12% in 2030e.

We also cut our OAI's ARPU forecasts to reflect price tiering

ChatGPT users are downgrading to the cheaper Go tier rapidly

The lower-end Go pack may convince more users to subscribe, but we fear it could trigger cannibalisation of the higher tiered plans. The Information (28 April 2026) suggests ChatGPT users are downgrading to the cheaper Go tier (USD8 per month) from Plus (USD20 per month) at a rapid pace. OpenAI's internal plans assume 80% of ChatGPT Plus users will downgrade to Go by the end of 2026, according to The Information.

OAI: Consumer and Business ARPU forecasts

USD/month	Dec 24e	Dec 25e	Dec 26e	Dec 27e	Dec 28e	Dec 29e	Dec 30e
Consumer ARPU							
Old	20.0	20.0	20.0	20.0	20.0	20.0	20.0
New	20.9	21.6	10.3	10.3	10.3	10.3	10.3
% change	4.5%	7.9%	-48.5%	-48.5%	-48.5%	-48.5%	-48.5%
Business ARPU							
Old	35.0	35.0	35.0	35.0	35.0	35.0	35.0
New	28.0	28.0	28.0	28.0	28.0	28.0	28.0
% change	-21.4%	-21.4%	-21.4%	-21.4%	-21.4%	-21.4%	-21.4%

Source: HSBC research

ARPU: we consequently reduce our ARPU assumptions by almost 50% for consumer packs and c21% for business packs in the period 2026-2030e as we assume 80% of subscribers taking a Go pack, 19% for the Plus and 1% for Pro packs.

Altogether, we cut subscription revenue forecasts for OAI

Higher subscribers forecast not offsetting lower ARPU

- We cut our users growth forecasts to reflect the competition taking share
- We increased the penetration of paid users after OpenAI introduces a cheap tier plan
- We cut our ARPU forecasts to reflect the dilutive impact of the new tier plan

Subscription revenue: the combination of these three elements leads us to cut our OAI B2C revenue by 33% in 2026-30e.

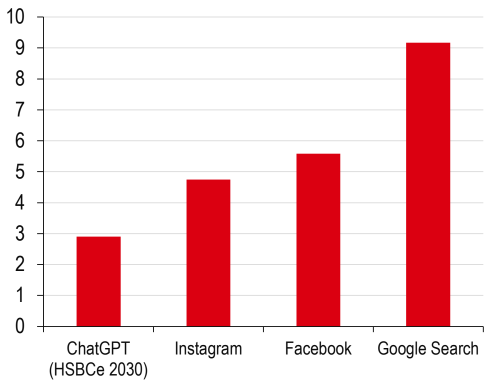
Advertising: we cut our 2026-30e TAM

OAI's ChatGPT is currently the only large LLM opening its chatbot's surface to advertising after Perplexity's pull-back, as we explained in *Digital ad: OpenAI's first mover (dis)advantage?* (27 February 2026). OAI competitors claim higher user trust in ad-free services, despite ChatGPT introducing guardrails. ChatGPT's nascent ad product is off to a healthy start, achieving a USD100m run-rate within six weeks of launch (February 2026). While initially requiring sizable upfront commitments from large advertisers, OpenAI launched on 5 May a self-service product with a Cost-per-Click (CPC) model and attribution/measurement tools, expanding access to SME advertisers and bringing it closer in practise to Meta or Search.

OAI ad platform to benefit from high-intent inventory

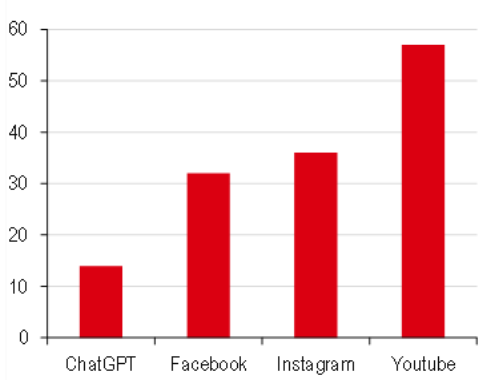
ChatGPT's real LT differentiator though lies in its high-intent conversational ad inventory, which offers contextual data that should prove superior to traditional search keywords or identity graphs. Supporting this bullish take, Alphabet in its 4Q25 earnings call shared that its AI-powered conversational features (AI Overviews and AI mode) are already monetising at rates comparable to traditional search despite the still early-stage nature of the ad channel.

ChatGPT 2030e ad ARPMAU (HSBCe) vs peers in FY25 (USD)



Source: eMarketer, HSBCe, global blended averages used

Average daily minutes per MAU



Source: eMarketer, The Information, HSBCe based on Sensortower data

We continue to model a lower 2030e ad ARPU than that of established platforms' offerings today (see table on page 15). We think modest monetisation assumptions are justified, despite ChatGPT's promising ad potential, mainly as ChatGPT trails Big Tech platforms in daily engagement (averaging c14 daily minutes per MAU), and additionally as the ad-free optionality of ChatGPT's higher subscription tiers likely entails a more price-sensitive / lower-income demographic to its ad viewers that may impact ad returns.

Open AI advertising revenue: Changes in HSBC estimates

	Dec 2026e	Dec 2027e	Dec 2028e	Dec 2029e	Dec 2030e
Ad seeing subscribers (bn)					
New	1.1	1.3	1.5	1.7	1.9
Old	1.0	1.3	1.6	2.0	2.4
% change	2%	-2%	-8%	-13%	-20%
Ad ARPU (USD/month)					
New	0.27	1.16	1.76	2.17	2.44
Old	0.27	1.16	1.76	2.17	2.44
% change	0%	0%	0%	0%	0%
Advertising revenue (USDbn ARR)					
New	3.4	17.8	31.3	44.6	56.5
Old	3.4	18.1	34.0	51.4	70.5
% change	2%	-2%	-8%	-13%	-20%

Source: HSBC research

Advertising revenue: there is no material change in our ARPU estimates. We are cutting our advertising revenue forecasts to essentially reflect a lower-than-expected user base, offset only partially by an expansion of the ad-viewer share (of WAUs) given OpenAI is now prioritising ad-supported Go subscription tier over ad-free options.

Advertising ARPU for various companies

USDm, CY	2022	2023	2024	2025e	2026e	2027e	2028e	2029e	2030e
Google search									
Daily active users (mn)*	1,703	1,836	1,928	2,060	2,181	2,283	2,373	NA	NA
y-o-y		7.8%	5.0%	6.9%	5.9%	4.7%	3.9%	NA	NA
ARPU (monthly, USD)	7.9	7.9	8.6	9.1	9.9	10.2	10.6	NA	NA
y-o-y		0.0%	7.8%	6.1%	8.5%	4.0%	3.9%	NA	NA
Search advertising revenue	162,450	175,033	198,084	224,532	257,881	280,680	302,933	NA	NA
Meta									
Daily active people#	2,960	3,190	3,350	3,580	3,790	3,968	4,123	4,264	4,397
y-o-y		7.8%	5.0%	6.9%	5.9%	4.7%	3.9%	3.4%	3.1%
ARPU (monthly, USD)	3.2	3.4	4.0	4.6	5.3	6.1	6.7	7.3	7.8
y-o-y		7.7%	15.9%	14.3%	16.9%	14.2%	10.7%	8.3%	6.9%
Advertising revenue	113,641	131,948	160,632	196,174	242,722	290,218	333,733	373,944	412,308
Snap									
Daily active users (mn)	354	400	437	470	485	504	524	539	555
y-o-y		12.9%	9.3%	7.5%	3.2%	3.9%	4.0%	2.9%	3.0%
ARPU (monthly, USD)	0.9	0.8	0.9	0.9	1.0	1.1	1.1	1.2	1.3
y-o-y		-11.5%	6.5%	2.9%	8.0%	7.6%	7.2%	7.5%	7.1%
Advertising revenue	3,961	3,960	4,611	5,104	5,686	6,355	7,083	7,834	8,637
Total revenue	4,603	4,602	5,359	5,931	6,608	7,386	8,232	9,105	10,037
Pinterest									
Monthly active users	440	477	532	592	640	683	720	758	799
Daily active users (mn) **	264	286	319	355	384	410	432	455	479
y-o-y					8.2%	6.6%	5.5%	5.3%	5.3%
ARPU (monthly, USD)	0.9	0.9	1.0	1.0	1.0	1.1	1.1	1.2	1.2
y-o-y						5.4%	4.2%	4.5%	3.2%
Advertising revenue	2,801	3,051	3,644	4,217	4,726	5,308	5,837	6,419	6,979
OpenAI									
Weekly active users (non-paying)	NA	NA	284	780	968	1,149	1,324	1,526	1,707
y-o-y					59.2%	23.1%	17.6%	16.0%	14.1%
ARPU (monthly, USD)					0.12	0.80	1.52	2.00	2.33
y-o-y						540.4%	90.6%	32.1%	16.3%
Advertising revenue				-	1,421	11,203	25,103	38,466	51,062

Source: Company data, HSBC estimates. Note: *1Q25 daily active users stood at 2bn, according to Google. Other years are estimated by HSBC. #Distorted by the inclusion of WhatsApp, which does not generate meaningful ad revenue. **Assuming daily active users are 60% of monthly active users. Typically, major platforms, such as Meta, have daily active users that are c80% of monthly active users, while smaller platforms, such as Snap, have the ratio at 50%. NA – Not applicable/available

AI B2B forecasts

- We increase our B2B AI TAM by 74%
- Agentic AI brings new use cases to enterprises and accelerates AI adoption; coding tools are progressing fast, too
- Anthropic remains a clear leader in B2B; OAI and Gemini remain serious but distant contenders

Enterprise AI applications keep growing fast

We expect B2B AI TAM to reach USD708bn in 2030, up from USD20bn in 2025
Due to the progress of agentic AI and further productivity improvement in coding tools, we are increasing our forecast of the 2026-30 B2B cumulated TAM to USD1.9trn. Our B2B AI TAM includes several revenue categories:

- **Departmental AI:** Comprises tools for a specific field. The most notable examples include coding assistants (e.g., Claude Code), AI agents for sales & marketing (Agentforce from Salesforce) or IT service management (Assist Now from ServiceNow)
- **Horizontal AI:** e.g. Microsoft 365 CoPilot that assists users in tasks around Microsoft Word, Excel, PowerPoint, etc., products such as Glean (AI-powered enterprise search and knowledge management platform that connects with company applications like Slack, Google Drive, Jira, and Salesforce) to help employees find information and summarise content
- **Industry-specific AI tools**: e.g. ambient AI scribe tools used to listen to patient-clinician conversations and automatically generate structured, electronic health record-ready notes
- **Foundation large language models (LLMs):** These are the “neural hub” of GenAI. AI tools lean on foundation LLMs to bring “intelligence” to the end-products. Revenue earned by foundation models is a cost for the tools described above.

B2B – Enterprise TAM: new HSBC forecasts

	2025e	2026e	2027e	2028e	2029e	2030e	2026-30e
B2B - Enterprise revenue (New)	**20**	**122**	**264**	**374**	**514**	**708**	**1981**
Departmental AI	5	27	50	68	89	117	351
AI driven coding tools	2	21	37	44	51	60	213
AI agents and other	2	6	13	24	38	58	139
Horizontal AI	4	42	102	145	200	276	765
CoPilots and similar tools	4	40	99	139	190	260	727
Industry-specific AI tools	2	7	16	27	45	73	168
Foundation LLM models	9	46	96	133	179	243	698
B2B - Enterprise revenue (Old)	***20***	***69***	***125***	***196***	***296***	***450***	***1137***
change	1%	76%	111%	91%	73%	57%	74%

Source: HSBC research

Anthropic, Gemini, and OAI do not split their B2B revenue from B2C, but we use information from additional media sources to build a more detailed forecast for OAI. We understand that OAI products contribute the following market categories outlined on the previous page:

- **Foundation LLM**: this is where the bulk of OAI B2B revenue fall into. Revenue is derived from the volumes of tokens received and generated by users through an API (Application Programming Interface). API integrates access to ChatGPT in the company's systems and software for automated workflows for example (page 18)
- **Departmental AI**: where we account for OpenAI's coding tool "Codex". OpenAI has introduced new pay-as-you-go pricing on 2 April 2026 for Codex (page 19):
- **Horizontal AI:** this category would include OAI's CoPilot-like tools that come with ChatGPT Enterprise product capabilities (page 21)

Anthropic is running ahead in B2B

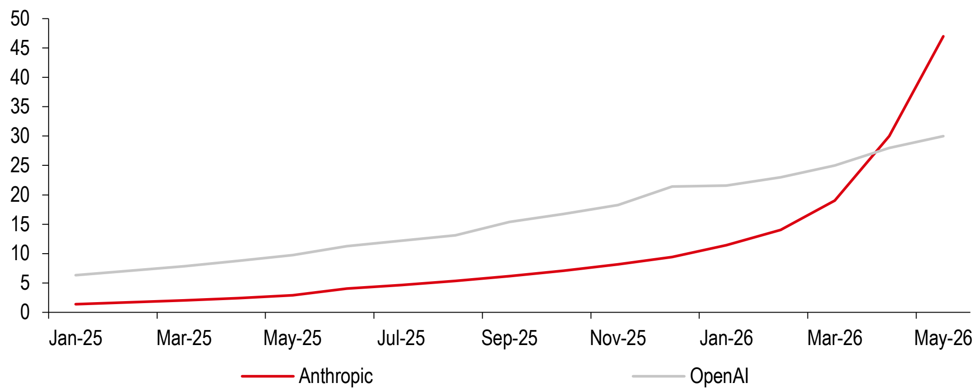
Anthropic ARR's increased five-fold in the last five months

Anthropic ARR has passed ahead of OAI's, essentially driven by B2B

Headlines in the last months have pointed to strong revenue growth at Anthropic, the closest OpenAI rival in B2B. This tells us that not only does Anthropic have good products and can win shares but also that the enterprise AI TAM is growing fast.

We believe that Anthropic's annualised revenue run rate rose from cUSD9bn in December 2025 to about USD47bn in May 2026e, more than 2x we were forecasting in our last note. This is a fivefold increase in Anthropic's ARR in five months, a mind-blowing performance. OpenAI doesn't disclose B2B related revenue, but we estimate that it would be only USD30bn in May, a fraction of Anthropic's ARR (we estimate Gemini's ARR at USD13bn in May).

B2B revenue ARR: Anthropic is taking the lead



Source: HSBC research

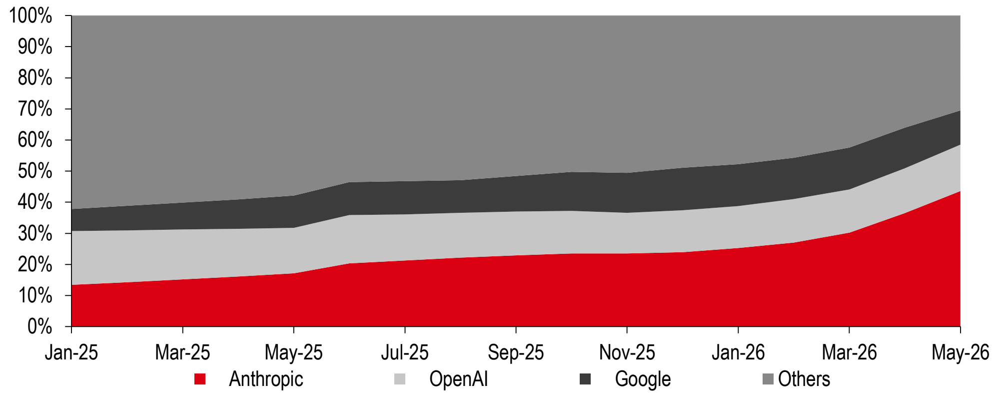
OAI is strengthening its focus on B2B, notably coding tools

OpenAI re-focuses on B2B

We note that OpenAI has doubled up in its efforts to capture more value with enterprises. Earlier this year, Fidji Simo, OpenAI's CEO of applications has indicated the de-prioritisation of side projects to better focus on coding and business users according to the WSJ, 16 March 2026.

We have already seen some impact with the demise of OpenAI's text-to-video app Sora on 25 March 2026 (see *OpenAI: Back to chatbots – new HSBC forecasts*, 1 April .

B2B AI market shares dynamic: Anthropic's lead reinforces



Source: HSBC research

We expect Open AI to remain a leading player in the market, but also for Anthropic to retain a significant market share gap in the coming years. In the next section, we now look at the different categories of the B2B AI market where OAI plays a role.

AI B2B

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Enterprise AI revenue	**20,321**	**121,714**	**264,218**	**373,814**	**513,705**	**707,958**
Anthropic	**4,265**	**54,654**	**129,745**	**174,626**	**228,541**	**299,840**
Foundation model	3,671	24,656	51,460	69,533	91,332	120,416
Claude code	234	9,020	18,078	21,785	25,123	28,679
Claude for Enterprise	360	20,977	60,207	83,309	112,086	150,744
OpenAI	**2,935**	**18,175**	**40,287**	**55,279**	**74,066**	**99,630**
Foundation model	2,637	8,415	15,919	22,026	29,647	40,080
Codex	66	3,054	5,741	6,862	8,034	9,375
ChatGPT enterprise	232	6,706	18,627	26,391	36,385	50,176
Google	**2,287**	**13,955**	**29,443**	**42,505**	**59,438**	**82,765**
Foundation model	1,957	11,005	24,649	35,773	50,408	71,203
Google Gemini	330	2,951	4,794	6,731	9,030	11,562
Other	**10,833**	**34,930**	**64,744**	**101,404**	**151,661**	**225,723**

Source: HSBC research

Foundation LLM: Anthropic gains market share

We expect the foundation LLM model subsegment total market revenue to rise to USD242bn by 2030e, a 93% CAGR from 2025. We are assuming OAI's revenue market share will drop from 29% in 2025 to 17% In 2030 but still achieving a 72% CAGR compared to 101% for Anthropic.

Microsoft and OAI recently agreed that Microsoft will no longer share the revenues that it earns by selling OAI's LLMs on Azure, but that OAI sharing revenue agreement with MSFT will not extend beyond 2030. Microsoft no longer sharing ChatGPT revenue on Azure would mechanically reduce B2B revenue for OpenAI, but we assume that incremental revenue from Amazon AWS and Google Cloud will offset this downside from Microsoft.

Microsoft could in theory cut pricing on ChatGPT on Azure to attract more users to its Cloud, but this would impact OAI's revenue. Microsoft owns c27% of OAI and OAI accounts for 46% of Microsoft's remaining performance obligations. A deterioration in OAI's financials would hence not be in Microsoft's interest, in our opinion.

OpenAI accounts for a significant part of total remaining performance obligations (RPO) at cloud service providers

Company	Total RPO (USDm)	Likely contribution of OpenAI (USDm)	% RPO from OpenAI
Amazon	238,000	38,000	16%
CoreWeave	50,000	22,400	45%
Oracle	520,000	300,000	58%
Microsoft	631,000	290,000	46%

Source: Company data, The Information, HSBC estimates

Foundation LLM: Long-term revenue outlook

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Foundation LLM models	**9,057**	**45,930**	**96,339**	**133,298**	**179,415**	**242,553**
Anthropic	3,671	24,656	51,460	69,533	91,332	120,416
OpenAI	2,637	8,415	15,919	22,026	29,647	40,080
Google	1,957	11,005	24,649	35,773	50,408	71,203
Meta	376	846	1,686	2,333	3,140	4,245
Other	415	1,008	2,625	3,632	4,889	6,610
Revenue market share						
Anthropic	40.5%	53.7%	53.4%	52.2%	50.9%	49.6%
OpenAI	29.1%	18.3%	16.5%	16.5%	16.5%	16.5%
Google	21.6%	24.0%	25.6%	26.8%	28.1%	29.4%
Meta	4.2%	1.8%	1.8%	1.8%	1.8%	1.8%
Other	4.6%	2.2%	2.7%	2.7%	2.7%	2.7%
Usage Market share						
Anthropic	34.3%	50.4%	51.0%	49.8%	48.6%	47.4%
OpenAI	27.0%	18.8%	15.8%	15.8%	15.8%	15.8%
Google	18.7%	22.6%	24.4%	25.6%	26.8%	28.0%
Meta	9.4%	3.9%	3.5%	3.5%	3.5%	3.5%
Other	10.6%	4.2%	5.5%	5.5%	5.5%	5.5%
Revenue of AI applications	11,264	75,784	167,879	240,516	334,291	465,405
Foundation LLM revenue/AI application revenue	**80%**	**61%**	**57%**	**55%**	**54%**	**52%**

Source: Company data, Menlo Ventures, HSBC estimates

Sanity check: as can be seen on the last line of the table above, the revenue earned by all the foundation LLM models was equivalent to c80% of the revenue generated by AI applications using the LLMs in 2025. This is not sustainable for AI application providers as their gross margin would be very low (most likely negative). Hence, we expect foundation model providers' revenue share to decline to 52% by 2030e.

Coding tools: usage accelerates

Token consumption for coding tools is rising fast. Microsoft reported in its 1QCY26 results conference call that the usage of its coding assistant GitHub CoPilot was doubling every month.

AI-driven coding tools revenue on a surge – annualised run rate

USDm	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
AI driven coding tools	**3,058**	**3,584**	**4,200**	**5,244**	**6,581**	**8,535**	**11,425**	**15,091**	**19,436**
Claude Code	300	420	588	1,000	1,600	2,560	4,341	5,886	7,803
OpenAI: Codex	67	121	217	391	625	1,000	1,470	2,084	2,799
GitHub CoPilot	950	997	1,047	1,072	1,125	1,181	1,333	1,691	2,098
Cursor	774	929	1,000	1,300	1,600	2,000	2,257	2,863	3,551
Other coding	967	1,117	1,347	1,482	1,630	1,793	2,023	2,567	3,184

Source: Company data, Menlo Ventures, HSBC estimates

The company has announced plans to shift to usage-based pricing, which could result in significant ARPU boost, in our opinion.

- **Microsoft's GitHub** allows developers to store, manage, track, review, and share their code. It's the world's largest repository for software development enabling multiple people to work on the same project simultaneously using natural language. GitHub CoPilot proposes foundation LLMs, including OAI's ChatGPT models, Anthropic's Claude, Google's Gemini and others. MSFT's 4QCY25 results conference call revealed that GitHub CoPilot had 4.7m users, up 75% y-o-y. GitHub CoPilot offers several plans, including Pro (USD10/month), Business (USD19/month) and Enterprise (custom, often higher than Business). We estimate a December 2025e ARR of USD1.1bn, assuming an ARPU of USD19/month. We expect ARPU to rise rapidly as MSFT migrates to usage-based pricing.

Microsoft 365 CoPilot

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Microsoft 365 subscribers	527	560	591	624	659	695
y-o-y		6.2%	5.6%	5.5%	5.5%	5.5%
CoPilot subscribers	10	24	39	55	74	95
% adoption of coPilot	1.9%	4.3%	6.7%	8.9%	11.3%	13.7%
Assumed ARPU	18	18	18	18	18	18
M365 CoPilot Revenue: ARR	2,198	5,258	8,500	11,935	16,010	20,500

Source: Company data, HSBC estimates

- **Anthropic's Claude Code** was fully launched to the public in May 2025. It saw its ARR rise to USD1.0bn by December 2025 and USD2.5bn by February 2026. We estimate USD7.8bn in May 2026.
- **OAI's Codex** saw a surge in user adoption after it launched GPT-5.3 Codex in early February 2026. The total number of users more than tripled to 1.6m in early March 2026 versus early 2026. According to Yahoo Finance, the ARR reached USD1bn in early 2026 and has increased significantly since then. An ARR of USD1bn on just 1.6m users would suggest an ARPU of about USD52/month. We estimate OAI's May 2026 ARR at USD2.8bn.

We forecast 16% OAI market share in coding tools in 2030

We estimate that OpenAI commands only a low single digit market share in this segment (c3% in 2025) but growing in 2026 after they launched their Codex tool on 2 February 2026. We expect OAI coding tools market share to converge toward its foundation LLM market share: we forecast 16% in 2030.

AI-driven coding tools– HSBC long-term estimates

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Number of professional programmers (mn)	**25**	**24**	**24**	**23**	**23**	**22**
% using AI coding tools	16%	79%	99%	100%	100%	100%
Number of programmers using AI coding tools (mn)	**4**	**19**	**24**	**23**	**23**	**22**
ARPU (USD/month)	49	90	131	157	188	224
AI Coding tools ARR	**2,378**	**21,079**	**37,079**	**43,777**	**51,076**	**59,545**
Claude Code	234	9,020	18,078	21,785	25,123	28,679
OpenAI: Codex	66	3,054	5,741	6,862	8,034	9,375
GitHub CoPilot	850	2,146	3,149	3,593	4,255	5,104
Others	1,227	6,858	10,111	11,538	13,664	16,387

Source: Company data, HSBC estimates

CoPilot tools: acceleration in Q2 2026 driven by Anthropic

Tools such as Microsoft CoPilot, Claude CoWork and ChatGPT enterprise reached an ARR of USD7.2bn in November 2025 (source: Menlo Ventures). We estimate that the revenue from these tools has accelerated since then with a May 2026 ARR of USD32bn. We do not have precise market data, but we see no other plausible explanation for the runaway revenue growth in May but the success of Anthropic tools. We give some examples of CoPilots below.

- **Google** has reported rapid adoption of Gemini Enterprise within Google Workspace ecosystem. The company had 11.2m paid seats for Gemini Enterprise in 1Q26 (4QCY25: 8m), just seven months after its launch. We estimate a May 2026e ARR of USD2.7bn (4QCY25: USD1.7bn), assuming an ARPU of USD18/month.
- **Microsoft 365 CoPilot** is an AI-powered digital assistant, offering suggestions, automating tasks, and providing contextual information across applications. MSFT reported 20m+ subscribers in 1QCY26 (4QCY25: 15m). Assuming an ARPU of USD18/month (price: USD30/month before discounts), we arrive at an ARR of USD4.3bn in March 2026 (December 2025: USD3.24bn). Microsoft 365 CoPilot is the largest tool by revenue in this category. However, its penetration among Microsoft 365 subscribers is in the low single digits. This indicates potential for significant upside
- **Anthropic**: we use "**Claude for Enterprise**" (as per the definition by Menlo Ventures) as a generic term for its CoPilot-like tools, which would include Claude CoWork and other similar tools, Claude for Excel for example, built on the back of Claude. The company has released very little information for us to model the revenue precisely. We estimate an ARR of close to USD16bn in May 2026, subtracting the revenues of Claude Code (May 2026 ARR: USD7.9bn), Anthropic LLM foundational models (USD21.6bn) and Anthropic Consumer (USD1.8bn ARR) from Anthropic's overall revenue (May 2026 ARR: USD47bn).
- **OAI**: similarly, we have no details on **OAI's CoPilot-like tools**. We assume that the ratio of OAI's CoPilot revenue to Anthropic's Claude for Enterprise revenue will be the same as the ratio of their market shares in foundation LLM. This approach may underestimate OAI's revenue as we are unable to reconcile OAI's total revenue from our estimate of OAI's consumer and enterprise revenues, which leaves a sizeable unknown/other (c10%) revenue in our OAI estimates.

CoPilots and similar tools

USDm	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
CoPilots and similar tools	**4,584**	**5,444**	**7,200**	**8,478**	**9,529**	**10,740**	**12,274**	**18,492**	**32,130**
Claude for Enterprise	582	646	713	872	1,122	1,443	1,827	5,874	15,805
Chat GPT enterprise	371	389	405	515	625	786	913	2,379	5,392
Google Gemini Enterprise	307	768	1,152	1,728	1,901	2,091	2,419	2,584	2,747
Microsoft 365 CoPilot	2,572	2,778	3,000	3,240	3,545	3,852	4,289	4,581	4,871
Other co-pilots & similar	751	863	1,930	2,123	2,335	2,569	2,825	3,074	3,315

Source: Company data, Menlo Ventures, HSBC estimates

CoPilots and similar tools – HSBC long-term estimates

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
CoPilots and similar tools	3,872	39,533	98,648	138,890	190,370	259,975
Claude for Enterprise	360	20,977	60,207	83,309	112,086	150,744
ChatGPT enterprise	232	6,706	18,627	26,391	36,385	50,176
Google Gemini Enterprise	330	2,951	4,794	6,731	9,030	11,562
Microsoft 365 CoPilot	2,198	5,258	8,500	11,935	16,010	20,500
Other co-pilots & similar	753	3,641	6,520	10,524	16,859	26,992
CoPilots and similar tools: y-o-y		920.9%	149.5%	40.8%	37.1%	36.6%
Claude for Enterprise		5719.4%	187.0%	38.4%	34.5%	34.5%
Chat GPT enterprise		2792.7%	177.8%	41.7%	37.9%	37.9%
Google Gemini Enterprise		795.2%	62.5%	40.4%	34.1%	28.0%
Microsoft 365 CoPilot		139.3%	61.7%	40.4%	34.1%	28.0%
Other co-pilots & similar		383.7%	79.1%	61.4%	60.2%	60.1%

Source: Company data, Menlo Ventures, HSBC estimates

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